HEAL HOUSE AT YONGE & STEELES · MARKHAM · INVESTMENT SUMMARY

Three towers, one *healing* community

An approved site one block from Yonge, bought from the court-appointed receiver at about $31M: affordable and market rental, a Heal House retirement residence with wellness stays, a 40,000 sq ft Heal House open to the community, and a boutique condo tower as upside.

1,145 homes	$564.3M	$4.7M	$100.2M	$53.2M
231 AFFORDABLE · +80 SUITES	TOTAL PROGRAM	HEAL HOUSE EBITDA / YR	BCH · ALL REPAID YR 10	BUILDING ONTARIO FUND



Approved two-tower scheme · OLT final order May 7, 2024 · 44 + 40 storeys · 1,060 units · 74,467 m² · 510 parking. Rendering from the vendor's 2026 marketing.

01 · THE PROGRAM

TOWER	HOMES	COST	NOI / PROFIT
A · 44 st · affordable + market rental	518 (155 aff.)	$222.9M	$10.1M
B · 40 st · Heal House retirement residence	377 (76 aff.)	$201.3M	$9.9M
B · wellness-stay suites (Sunray)	80 keys	$27.4M	$1.3M
C · 23 st · boutique condo, to be rezoned	250	$112.7M	$51.3M profit
Total	**1,145**	**$564.3M**	

02 · WHAT WE NEED TO RAISE

$53.2M — Building Ontario Fund — Tower B, 4% a year, repaid Year 20

$100.2M — BCH — 10-year loan, repaid in full at Year 10

$212.1M — CMHC MLI Select, Towers A + B

$21.2M — City of Markham — incentives / DC relief

$37.5M — Sponsor equity — $8.7M at purchase

$11.5M — Land guarantee — LiUNA via Nesting Ground

$27.4M — Sunray — wellness-stay suites

$22.5M — Tower C equity — later phase

03 · BCH GETS EVERY DOLLAR BACK

$100.2M repaid at Year 10

From a Year-10 CMHC refinance at 1.20x: $55.0M left on Tower A and $52.7M on Tower B after BCH. Still repaid at 4.5% interest.

04 · WHAT IT RETURNS

Tower A — sponsor multiple · equity at Yr 10	5.7x · $86.5M
Tower B — sponsor multiple · equity at Yr 10	5.8x · $55.6M
Tower C — condo profit at $1,050/sf	$51.3M · 31%
Heal House — EBITDA at maturity · value 8–12x	$4.7M · $37.6M–$56.4M

HEAL HOUSE

A sanctuary for healing.

Sources: Approved 44/40-storey scheme: 74,467 m2 / ~801,556 sf GFA, 1,060 units, 510 parking (OLT Interim Decision Oct 17 2023, para 9; final order May 7 2024). Colliers brochure states 858,648 sf. GFA split between towers by storeys; unit counts scaled to GFA · Arterial hard cost: $370/sf (40–60 storeys), $340/sf (20–40 storeys), Markham (Nov 4–5 2026) · Arterial comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp · ESTIMATE — no Arterial Markham/York DC data; affordable homes assumed DC-exempt · BCH as a 10-year loan, payment- and interest-free to Year 10, repaid in full from a Year-10 MLI Select refinance (capped at 1.20x coverage; 85% LTV Tower A, 75% Tower B). Building Ontario Fund on Tower B paid 4% a year and repaid at a Year-20 refinance. Illustrative scenario for discussion — not a valuation, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, BCH, Building Ontario Fund and City of Markham approvals, and LiUNA trustee approval.

HOW IT IS FUNDED, AND WHAT HEAL HOUSE EARNS

Capital that comes *back*

CMHC carries half of each rental tower, BCH is a 10-year loan repaid at the Year-10 refinance, and the Building Ontario Fund is the patient capital on Tower B through Year 20.

01 · CAPITAL STACK

SOURCE	TOWER A	TOWER B
CMHC MLI Select · 4.25%, 50-yr	$111.4M	$100.6M
BCH · repaid Year 10	$79.5M	$20.6M
Building Ontario Fund · to Year 20	—	$53.2M
City of Markham	$11.1M	$10.1M
Sponsor equity · land + pre-development	$20.8M	$16.8M
Total cost · debt coverage Yr 1	**$222.9M · 1.87x**	**$201.3M · 2.04x**

02 · YEAR 10 — BCH REPAID IN FULL

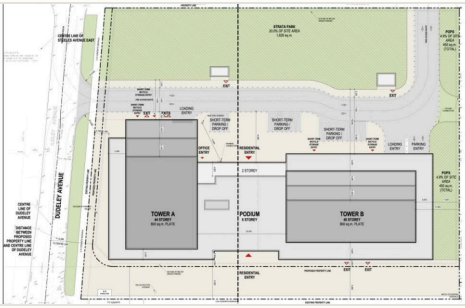
REFINANCE	TOWER A	TOWER B
Value at Year 10	$324.4M	$222.3M
New CMHC loan at 1.20x	$237.9M	$166.7M
Repays first mortgage	($103.4M)	($93.4M)
Repays BCH in full	($79.5M)	($20.6M)
Left over	**$55.0M**	**$52.7M**

03 · YEAR 20 — THE FUND REPAID

The Fund is paid 4% a year (~$2.1M) from Year-11 cash flow of $5.3M. A Year-20 refinance frees $69.3M against $53.2M owed, leaving $16.2M.

04 · TOWER B AND HEAL HOUSE

Retirement suites, two services · 76 affordable 40 yrs	377
Revenue (rent + services) · NOI after 62% expenses	$26.1M · $9.9M
Leaner case (65% expenses, 90% occupancy)	$8.9M · 1.84x
Heal House · Tower B resident memberships	$1.3M
Heal House · Tower A resident memberships	$0.7M
Heal House · Outside clients — community clinic & wellness	$4.0M
Heal House · Wellness days — suite guests	$0.8M
Heal House · management fee (5% of Tower B revenue)	$1.3M
Heal House EBITDA · rent-free podium	**$4.7M**



Approved site plan: Tower A west, Tower B east, six-storey podium, strata park and POPS. An office entry off the drop-off court suits the Heal House front door.

05 · STATED OPENLY

- Zoning is residential only; the clinic podium needs an amendment. Hold removal, minor variance and consent come before site plan.
- Rents of $6,000 / $7,800 need a Markham market study; development charges are estimates.
- The Fund at $141K/home is above the program's $75.5K; Tower C is not approved.
- The existing conditional buyer's financing condition lapsed Oct 9; confirm its status with the receiver.

Sources: ASSUMPTION — licensed retirement home with two services: 1-bed $6,000, 2-bed $7,800/mo all-in; 92% occ.; 62% expenses incl. 5% Heal House management fee; 6.0% cap · Heal House: $350/mo wellness membership (85% of Tower B, 30% of Tower A residents — sponsor assumptions); outside clients $4.0M/yr at maturity = flagship clinic revenue in HealHouse_15Year_BusinessPlan_Valuation (Jun 2026), ~$100/sf on 40,000 sf, 3-yr ramp; 60% gross margin, 10% local overhead per that plan; podium rent-free · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask over ~2,000 homes = $75.5K/home · ASSUMPTION — 80 wellness-stay suites, ADR $185, 72% occ., 30% NOI margin, funded by Sunray cash · ASSUMPTION — Tower C 23 storeys, ~180,000 sf (Colliers pre-consultation, Jun 2025), not approved; $1,050/sf base; Arterial income value ~$712/sf as downside. Illustrative scenario for discussion.